He's Been a Costco Cashier for 40 Years. Now He's a Millionaire.

Podcast: Wall street journal

AI Executive Summary

1. Core Thesis

The podcast argues that Costco demonstrates a viable business model where treating labor as a long-term strategic investment rather than an expense yields superior financial outcomes compared to conventional corporate practices. By offering competitive wages and robust benefits, Costco achieves significantly lower employee turnover, which in turn drives customer loyalty, operational efficiency, and sustained stock price growth, proving that rank-and-file workers can achieve exceptional wealth while simultaneously maintaining business success.

2. Key Arguments & Data

- **Labor Investment Model:** Conventional wisdom views labor as an expense to be minimized; Costco's philosophy (influenced by founders Saul Price, FedMart/Price Club) views high pay and benefits as investments that reduce long-term costs through loyalty and reduced turnover.
- **Turnover Disparities:** Costco's annual employee retention rate is approximately 7%, compared to a retail industry average of up to 60% (high turnover rates cited in the transcript).
- **Individual Employee Success (Tony Barzar):**
    - **Tenure:** Works as a non-managerial cashier at one Costco store for 40 years (since the 1980s).
    - **Financial Security:** Retired with over $1 million in his 401k account and maintains good health insurance.
    - **Job Satisfaction:** His stability allowed him to purchase a home, vacation internationally, and cope financially during personal crises (family death, wife's cancer diagnosis) through Costco's paid leave and comprehensive health coverage.
- **Financial Performance Impact:** The low-turnover model correlates with Costco's consistent long-term sales growth and stock price gains,

driven by membership revenue which incentivizes in-store customer service quality.
- **Competitor Adoption:** Major retailers, specifically Walmart (starting around 2015), have begun raising hourly wages and adding benefits to replicate a similar virtuous cycle, addressing past issues of unhappy workers and poor store performance.
- **Strategic Challenges:** High employee wealth leads to early retirement, creating replacement costs; however, Costco manages this by incentivizing longer tenure (e.g., extended vacation) and leveraging cultural mentorship from senior non-managers.
- **Cultural Consistency:** Replicating Costco's model is difficult due to the deep institutionalization of pay-and-benefits practices that competitors find hard to sustain long-term without deviating from their core ethos.

3. Actionable Takeaways

- **For Business Leaders:** Shift financial strategy from cost-cutting on labor to investment in staff well-being. Competing businesses should evaluate if low-turnover strategies correlate with lower hiring and training expenses over time.
- **For Employees:** Prioritize employment relationships that offer stability and long-term benefits (retirement planning, healthcare) over those offering only high short-term executive promotion potential.
- **For Investors/Policy Makers:** Recognize that sustainable corporate profitability is often tied to employee retention; policies or public discourse regarding worker wages should account for the economic impact of reduced turnover on overall business health.

Full Transcript

That's the voice of Tony Barzar. At work is a cashier at Costco. Tony is 60 and he's been working at one particular Costco store in Tucson, Arizona for 40 years. He started working there in the 1980s. He started at Costco really almost as a kid at first.

You know, he was pushing carts in the parking lot. Do you remember what you started at when you were parked? A few years later, Tony became a cashier, and he's been doing that ever since. In retail, it's incredibly rare for workers like Tony to stick with the same job and the same company for such a long time. But our colleague Sarah Nassauer says that at Costco, There are thousands of employees like him who've been working at the company for years and years. So she went to Tucson to meet Tony and to find out why he stayed. Over the course of those four decades, even though he hasn't been promoted, right, he's not a manager. He's remained, you know, a rank and file hourly employee. He has earned over a million dollars in his 401k account. He has really good health insurance.

He earns about 3 an hour. And for him, it has felt like a really gratifying career. Part of why that was interesting to us is because that doesn't happen that often at American companies or companies in general these days. The conventional wisdom in much of corporate America is that labor is an expense that's best kept as low as possible. But Sarah says that Costco is different. The company sees long-term employees like Tony as good for business. These employees earn more, but lower turnover saves on hiring costs. They can also use their experience to solve problems quickly, which makes for happier customers. Over time, that leads to more sales. Barsar's story and how Costco in particular approaches pay and benefits for workers shows that it's still possible in corporate America to have a good job that doesn't involve becoming the CEO of a company or a high-level executive. And you can be a rank-and-file worker and have a good job. And the company can also be successful at the same time. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza. It's Tuesday, August 18th. Coming up on the show, why paying workers well is paying off for Costco. In many ways, Costco is an unusual company.

There's a really long history at Costco that sort of established the base for this kind of pay-and-benefits package for an hourly worker. So it goes back to the company's founding. The precursors to Costco, which were these companies called the FedMart and Price Club, were started by a guy named Saul Price. He just believed that there was gonna be this virtuous cycle. If you paid workers more than competitors, so you would hire better people and you would engender more loyalty, your labor costs would actually go down. The founders of Costco were very influenced by Saul Price's thinking. They adopted the same approach of paying workers well. And that idea has stayed with Costco throughout the decades. Today, the company offers some of the highest wages in the retail industry.

It has a package of good benefits too, like retirement accounts and health insurance. This approach has helped keep employee turnover at Costco very, very low. Turnover among employees after a year of work is just 7%. By comparison, some reports say that turnover across the retail industry as a whole could be as high as 60%. You know, there's a lot of research that sort of solidifies this idea that if you pay people more and you treat them well, they're going to treat your customers better and stick around. Right. It's like not the most original idea, right? Like we've heard that before. It's not rocket science. It's not rocket science. Sticking with Costco has been a no-brainer for Tony Barzar, the employee Sarah hung out with in Tucson. Thanks to his steady job at Costco, Tony's family bought a home with a pool in 2009, and have been able to go on a number of international vacations. And all those years doing the same job have made Tony really good at what he does. Sarah saw that when she met him that day. Once Tony got going, as soon as he was told by his manager, like, you're going to be in the self-checkout for the day, he kind of like whipped into action. He grabbed the little self-checkout gun, which at Costco, the workers scan for you.

And he was greeting people. He has kind of like a boisterous voice. And he's telling people, come, you know, this register is open. He's like a traffic cop. But he's also kind of making nice small talk with people. Like the woman that you gave a hug to over here. I've been known her for a long time. And she's always given me prayers and stuff. He knows a lot of people that... are his shoppers because he's worked there for so long. So he's

running around their carts and he's scanning their things, but he's also asking them how they're doing and how their kids are and trying to get them on their way as quickly as possible. That was incredible. Costco's benefits have also helped Tony get through some tough times in his personal life. Early last year, Tony's son-in-law died. Just a few months later, His wife was diagnosed with stage 3 brain cancer. A serious health diagnosis like this could spell financial ruin for many families in America today. But Tony used Costco's paid family leave program to take time off to care for his wife.

And his health insurance covered all of her treatment. It also covered therapy for Tony to help him cope. So I think that it gets to the point of it goes beyond pay, right? Like there's a humanity to that, right? There's a like I can count on this as a stable part of my life. And therefore, I'm going to stick with it and give my all when I go to work. So all of this has been good for Tony. But how does it work out for Costco? That's next. So switching perspective, we've been talking about how good this is for the worker. Can you talk about what this means for Costco the company? I mean, does this work for Costco as a business? It has. Costco's stock price has been on a tear.

Not just for a little while, but for many years in a row. Some of that's driven by how much people seem to love shopping at Costco. Let's pull down to my favorite place, Costco. I haven't been here in a minute, so let's go get all our Costco essentials. Costco is the best to buy all my grocery staples because honestly, I fly through for some veggies. I freaking love Me Some Costco. I am an executive member there. Like, I love Me Some Costco. Every company wants happy customers. But Costco isn't like most other stores. It operates a membership system. which means you have to sign up to shop there. Selling memberships is more profitable for Costco than selling products in its stores. This gives the company an extra incentive to provide a good in-store experience. Long-time workers help with that. They can answer shoppers' questions and solve their problems. And happy shoppers are more likely to renew their memberships. Still, Costco has had to convince shareholders of the importance of paying workers as well as it does to keep them around.

And there was a lot of skepticism over the decades from investors about that, you know, because obviously if you pay a little less, your profits are going to go up in the short term. But in the long term, Costco's sales has been very steady almost every year for decades. Their ability to sort of like consistently have this drumbeat of growth has been pretty unique in the retail industry. And I think people then have sort of come around to the fact that like, well, if you People stick around and you don't have turnover and they do a good job with customers. That can be a virtuous cycle. Are there any downsides for Costco? I mean, it all sounds so great. Everybody's happy. The workers are happy. The company is happy. What's the catch? I don't know that there's a catch, but one challenge of this model is that some employees, you know, they do get very wealthy.

And they retire before Costco would like them to retire, right? They're like, I'm a millionaire and I'm going to retire and now you have to hire someone else. And so they are working actually to keep people longer so that this sort of culture persists. How much of a cost is that for Costco? Like how much of a challenge is it for them? I don't think it's like a huge strategic problem for them. And they've done things to try to keep folks around a little longer. They've offered like more vacation to folks that are long tenure employees, for example. Some of the stores have started talking about folks like Tony that aren't managers, but that are mentors to workers anyway, like passed down the culture of the company to newer workers. So is that the main challenge for Costco then, early retirement?

I mean, the main challenge is that it is expensive, right? If Costco's results were to take a turn, investors would very quickly turn back to, wait a second, maybe we should question this way of doing business. It works when it works. When everything is going well, it's fantastic, right? But if that changes ever in the future, I think we could be having a different kind of conversation. But things haven't gone badly for Costco. They've managed to continue these labor practices while doing well. And Costco's competition has taken note. I think there has been versions of this that have sort of reached out into lots of different retailers at different times. I think most retailers and employers of hourly workers, over the last 10 years, they've turned to seeing workers more as an important investment, right?

One big box competitor that has borrowed some of this ethos from Costco is Walmart. Starting like...

2015 they started to raise their hourly wage and they felt they were paying too little and they were not seeing sort of the virtuous cycle that we've been discussing workers weren't happy stores were a mess they started to raise their wages they've added benefits and Their pay has gotten much better on top of improving wages Sarah has reported in the past about other perks like company stock that Walmart now offers to some employees though Walmart hasn't gone as far as Costco. Why not just do what Costco does? That's really hard to stick to it over a long period of time because it's so expensive. You know, Costco, I've reported on them now for years. I know enough about them to know that it's not just with wages, but there's lots of things where they have this sort of, this is the core of who we are and how we do things. And if we vary from that, the formula doesn't work. And so we should never vary from that.

There's lots of that in their culture. And I think that is the unique thing, actually. And that is what is hard to replicate over time. Sarah, do you think this is a story about one unusual company? Or does it say something bigger about how large retailers run their company and think about hourly workers? To me, it says something bigger in the sense that Costco has been able to do this for such a long time that it really is sort of an irrefutable example of the fact that it's possible. And I will say I got a lot of reader response to this story. And I would describe the core of that reader response from lots of different kinds of people, from lots of different walks of life was just feeling like, wow, it's refreshing to see that someone can do sort of a straightforward job and that it's a good job.

You know, I heard from nurses, I heard from software engineers. It wasn't like in one industry or another, but there was this kind of yearning for like a good straightforward job. And so to be part of like the big takeaway almost after the fact and because of the response is that that feels very elusive to people and that there's a lot of curiosity about how a company can do that. That's all for today, Tuesday, August 18th. The Journal is a co-production of Spotify and The Wall Street Journal. If you like our show, follow us on

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